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China Autos & Shared Mobility | Asia Pacific

Tighter social insurance contributions enforcement – Time to reprice the hidden cost?

China's tighter social insurance enforcement from 2H26 could raise labor costs, leaving dealers and labor-intensive parts suppliers most exposed. The impact could erode both corporate margins and household disposable income, potentially weakening mass-market auto demand.

Social insurance enforcement has tightened significantly YTD, with collection administration fully transferred to tax authorities since January 2026. Based on our conversations with the Chinese auto supply chain, companies – particularly those in the Yangtze River Delta – will likely be required to make social insurance contributions based on employees' actual compensation, rather than minimum base salaries starting 2H26. Most China auto companies' 1H26 results still reflect the previous contribution basis. However, we expect the enforcement will be rolled out progressively across regions from July based on our channel checks, suggesting that the associated cost will gradually surface from 3Q26. We think year-end could represent another pressure point for enterprises in provinces where the policy is strictly enforced. Our channel checks also indicate that some companies may have already begun recognizing incremental social insurance expenses as early as 2Q26.

Investors appear focused on Northeast China where pension funds face funding pressure. However, **we believe the more relevant variable for the auto industry this year is the Yangtze River Delta, the heartland of China's auto parts industry,** where stricter enforcement of social insurance contributions recently started. In our view, the impact could be felt twice – first through higher pension costs on corporate P&Ls and second through reduced household take-home pay, which is closely linked to consumption.

In our view, the contribution floor will determine the cost impact. The key variable is the gap between actual wages and the local contribution floor, which differs markedly across the Yangtze River Delta. Shanghai has the highest floor in China at Rmb7.5k per month, compared with a ceiling of Rmb37k and an average wage of Rmb12.4k. By contrast, the floor is around Rmb4.8k in Jiangsu and roughly Rmb5.0k in Zhejiang. A frontline auto worker earning Rmb7.5k per month in Shanghai is already contributing close to the required floor, leaving no contribution gap. The same worker in Jiangsu, however, would face a contribution gap of roughly Rmb2.7k. We estimate that enforcement could increase employers' labor costs by c.25%, while reducing employees' take-home pay by c.10%, on the basis of this gap amount. *(Continued below.)*

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CHINA AUTOS & SHARED MOBILITY

Asia Pacific

Industry View

In-Line

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Impact of tighter social insurance enforcement (continued)

Airtight scrutiny: The contribution base captures salary, performance incentives, bonuses, overtime pay, and allowances. Companies with an unusually high share of workers registered at the minimum contribution base would likely be flagged automatically. Our channel checks suggest that tax authorities could cross-check three datasets: headcount against tax filings, contribution base against declared wages, and a closed loop between corporate income tax payroll, individual income tax and contribution totals. Since July, the process appears to have shifted from annual sampling to real-time.

Where the pain may hit and where the impact could be relatively light: Auto dealers could suffer most with net margins of 1-2%, low base pay against high commissions, vast headcount, new car sales already loss-making, and profit leaning entirely on aftersales and finance with limited cushion left. Among auto parts, harnesses, interiors, seating, stamping, etc., likely carry the larger worker load, especially those dispatched from 3rd party outsourcing agents that cost 30-40% more than direct hires. Chips, domain controllers and ADAS software should be relatively immune, in our view, as they're automated, with high revenue/salary per head, and closer to the ceiling.

Ripple impact might be down-played: Full contributions will also cut take-home pay, the effects of which will be mainly concentrated on blue collar workers earning Rmb5-10k in tier-2/3 cities, precisely the buyers of mass market models where competition is intense. Autos are big ticket discretionary with the highest elasticity to disposable income, and could be more vulnerable to lower take-home pay. Better pensions and medical cover should eventually lower precautionary savings, but this will likely take time to materialize.

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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BAIC Motor (1958.HK)	E (10/02/2025)	HK\$0.84
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$1.96
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.15
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb5.08
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.16
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb16.64
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb10.95
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb21.43
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.34
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$3.01
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb29.16
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb65.56
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb22.97
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb91.65

China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK\$0.50
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK\$1.03
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb23.74
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb52.90
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$51.45
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb82.92
Keboda (603786.SS)	O (01/17/2024)	Rmb40.61
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$27.02
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.16
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$3.83
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb20.84
Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb54.50
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb11.23
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb71.52
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$13.31
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb41.50
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK\$4.56
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb4.67
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb91.76
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$86.95
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$5.45
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$18.40
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb15.58
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$8.79
Hesai Group (HSAI.O)	O (07/28/2025)	US\$15.61
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$4.42
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$12.47
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$48.78
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$39.58
NIO Inc. (NIO.N)	O (08/26/2020)	US\$5.01
WeRide Inc (WRD.O)	O (11/19/2024)	US\$6.12
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$52.55
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$13.36

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.